

Avoiding Financial Scams and Schemes

Nearly every month, several new scams and schemes that try to separate you from your money rear their ugly heads. Some are misleading or take advantage of your vulnerability to charge you outrageous fees. Others are downright dishonest and illegal.

Credit-Repair Scams

You're in debt up to your ears, the debt collectors are hounding you every time you turn around, you can't get any new credit, and along comes a credit-repair clinic that promises to clean up your credit history in days. Doesn't it sound too good to be true? Yet many people, desperate to resolve their credit and debt problems, pay these clinics large fees and walk away with nothing.

Payday Loans and Advance-Fee Loan Scams

In the category of charging outrageous fees, consider payday loans. You need money now but payday is not for another week. You write a check for \$375 to the payday loan company. They immediately write you a check for \$300 and hold your check for \$375 until your next payday. They keep the \$75 difference as their fee, a whopping 25 percent interest rate for a two-week loan, which would be equivalent to an over 500 percent annual interest rate!



The FTC's website at www.ftc.gov lists current scams and unscrupulous schemes. Before you get involved in anything that sounds too good to be